

PITCH — RPC — VERDICT

ADJUDICATED 2026-09-16 — FLAT — one named gate (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

What we believe

Ridgepost Capital (RPC, CIK 1841968) is a multi-affiliate asset manager that earns fees on committed capital. The original idea was: the stock is down a third from its high, but the fees can't fall the way the price implies, because they're charged on money LPs promised, not on the market value of the assets. That "damage-absent" idea is **dead** — and it died on the company's own filings, not on either bench's opinion.

What we actually believe now, after both courts:

1. **The mark-insensitivity mechanism is real and primary-sourced.** The 10-Q MD&A says fees are charged on committed capital and, in certain cases, net invested capital, and that committed-capital fees are not affected by market appreciation or depreciation (10-Q MD&A text family). Blue overturned Red's claim that this line was marketing-only — same venue, not a weaker one.
2. **But mark-insensitivity was never the question.** The issuer publishes the actual damage channel and it isn't marks. In the disclosed FPAUM roll-forward analog, NAV change was — **\$117M** over nine months against **-\$321M** of scheduled fee-base step-downs and **-\$953M** of fee-period expirations on a ~\$22.7B base (px-20230930). That is a ~7.5% annualized gross bleed of the fee base versus ~0.7% from marks — roughly **11x**. Headline FPAUM still grows because new capital is raised over the top of it.
3. **The company is levered, so equity multiples flatter it.** At the dispatched tape of \$8.095: 110.23M A+B shares plus 11.19M exchangeable Stellus units = 121.4M, so equity ≈ **\$983M**; debt went from \$373.2M to **\$490.8M** with ~\$37M cash, so net debt ≈ **\$454M**; enterprise value ≈ **\$1.44B**, or **9.9x** a \$145.6M fee-related-earnings run-rate ($80.9 \times 4 \times 45\%$), **12.0x** after the ~\$26M/yr of stock comp, net debt/FRE **3.1x** (10-Q). Not "7.2x."
4. **Therefore: this is a price question, not a thesis question.** 9.9x EV/FRE is below where listed alt managers usually trade, so the correction kills the cheapness *label* without proving the business is broken. We want it at Blue's number or better, with the roll-forward in hand.

Belief in one line: *the fee base leaks by contract, not by market, and we will not pay ~10x for a leak we haven't measured.*

What the market believes

The market believes the de-rate is about fee-rate/mix compression and leverage, and it has already acted on it. The Q2 print was **in line** — \$80.9M actual against ~\$80.8M consensus (stockanalysis aggregation of the 8/5 release; secondary source) — and the stock fell ~19% anyway, from about \$9.89 into the \$8s. That is the market re-pricing the *forward* fee base, not reacting to a miss.

The market has also seen: a \$139M revolver draw on 2026-06-18, only ~\$34M of facility left, ~\$37M cash, a \$60M contingent earnout, and 11.77M newly issued deal units/shares at an \$8.03 basis with exchange and registration rights attached — sellers who are flat-to-underwater at today's price.

Where the market appears **not** to be precise: the actual roll-forward line items. Nobody we can see is publishing the split between NAV drag, scheduled step-downs, and fee-period expirations. The narrative is “fee rate is compressing”; the mechanism is “contracted fee periods are ending.” Those have different half-lives and different cures.

Why we might have edge

- **A disclosed number nobody is quoting.** The step-down / expiry / NAV-change breakout in the Ex 99.2 roll-forward converts a vibe (“compression”) into a rate we can trend quarter over quarter. It's in the filings and it's free. Both of our own benches argued proxies while the issuer published the answer — if we did that, others are doing it too.
- **A clean, pre-committed numeric gate.** Blue's gate is falsifiable before we risk money: step-downs + expirations under **2% of FPAUM annualized** and blended rate on **average** FPAUM at or above **100bp** ⇒ starter. Over **4%** ⇒ it's a short candidate, not a long. Most desks don't have a threshold; they have a feeling.
- **A structural seller we can name and time.** The deal cohort's basis is \$8.03/unit (the 10-Q booked \$94,515k on 11,770,245 units). We know roughly where their supply lives relative to our entry. That's a rare, dateable flow fact.
- **Arithmetic discipline that already paid.** Both benches made price and share-count errors that would have mis-sized us by 9–18% (below). Catching those *is* the edge on a levered small-cap.

Why it might be priced in

- **The in-line print is the strongest argument against us.** We agree with the street on the one number the thesis turned on. There is no published gap to monetize today.
- **The mechanism is consensus, not novel.** Red tagged leverage and rate/mix as NOVEL; Blue's tag audit overturned that — the market de-rated ~19% on exactly those two mechanisms right after the print. Only the deal-unit overhang and the tangible-book/intangible tail are arguably not fully discounted, and even the overhang is visible in public filings.
- **9.9x may simply be the right multiple** for a manager carrying 3.1x net-debt/FRE, \$885.9M of goodwill and intangibles against \$517.3M of total equity (tangible book ≈ **−\$369M**), \$34M of

undrawn capacity, and a fee base that contractually shrinks.

- **The roll-forward is public.** If it's readable by us on 2026-11-05, it's readable by everyone else the same morning. Our edge is in having pre-committed thresholds, not in exclusive data.

What could go wrong

Failure narrative 1 — The leak is bigger than Blue's gate and the gate lets us in anyway. Our only analog says the drag runs ~7.5% of FPAUM annualized gross (−\$1,274M of step-downs + expirations on \$22.7B over nine months). Blue's "clean" threshold is under 2%. If Q3 prints a flattering quarter because a large raise lands in the same period, we buy a starter into a base that's structurally shrinking, and the next two prints re-de-rate us. **Tripwire: armed and monitorable** — the Ex 99.2 roll-forward each quarter; two consecutive quarters above 3% annualized kills the long.

Failure narrative 2 — The balance sheet, not the fee base, does the damage. \$34M availability plus \$37M cash against a \$60M earnout (2027/2029, marked at \$6.6M using an 11.8–12% discount rate), ~\$19M/yr of dividend, and a −\$369M tangible book. An intangible impairment on the very contracts the fees sit on, a covenant renegotiation, or a dividend cut all re-rate the equity faster than any FRE math. **Tripwire: partial and lagging** — 8-K Item 2.06 (impairment), Item 1.01/2.04 (facility amendment), quarterly availability disclosure. All of these print *after* the decision was made in a private lender conversation.

Failure narrative 3 — NO MONITORABLE TRIPWIRE. Private LP and affiliate-consent risk. A large LP declines to re-up in a successor fund; a key person leaves an affiliate and triggers a key-man or removal clause; an affiliate's economics get renegotiated. These are decided in private closings and Form ADV-adjacent documents we cannot see, they are invisible to price gates and event gates alike, and they surface only as an FPAUM line item one to two quarters later — by which point the fee base is already gone. There is **no filing, no connector, and no tape signature** that fires in advance. **Unknown-unknown class: "private counterparty-consent risk at unconsolidated affiliates"** — outcomes determined by named third parties under NDA, with no public pre-echo. Sub-class we also cannot instrument: **LP concentration.** Red flagged correctly that this would require Form ADV or fund LP schedules, not any connector we hold; we do not know whether the top five LPs are 15% or 50% of FPAUM.

A second unknown-unknown class we created ourselves: desk data integrity. Blue priced \$8.80, Red priced \$7.98, and the dispatched pack said \$8.095. Three prices, one name, one day. That is a failure class ("stale/versioned tape propagating into derived share counts and multiples") with no tripwire because the error looks like data.

The reflexive / structural leg. - *Our size vs. ADV:* we do not have an ADV field in the pack (see unverified #3). Estimated from comps — small-cap alt managers turn 0.3–0.8% of float daily; on a ~\$871M screen cap with roughly 60–70M of real float, that's **~400–900k shares, or ~\$3–7M/day**. A starter of 0.5% of book is tolerable; the problem is the exit, not the entry. In the bad branch we would be selling into the same \$8.03-basis cohort, and a 3–4 day liquidation is self-punishing.

Rule: cap any position at ≤0.5x one day's estimated ADV until ADV is measured. - *Predicted flow:* 11.77M units/shares (~9.7% of the diluted count) with a basis of \$8.03 and exchange/registration rights pending. That is a supply shelf sitting *exactly* at our current price. Any

re-rate through \$8.03–\$9.00 is likely met with cohort selling, which caps the good branch and makes the reopen bands *below* \$8.03 the only ones with a clean tape. Two new 13Gs (2026-07-15, 2026-07-29) plus a 13G/A (2026-08-06) also say the holder base was churning right into the drawdown. - *Doctrine interactions*: `lockup_expiration_calendar` **FIRED on both benches** (Red first; Blue reduced Red’s “\$125M → \$94.5M markdown” framing to an artifact because the \$125M was the *cash* leg, but the \$8.03 at-water basis and the overhang stand). Red’s proposed `equity_consideration_markdown_overhang` detector rests on that overturned framing and should **not** be promoted. Blue’s `fee_base_expiry_roll_forward` detector is the one worth keeping; note it is *self-referential* — if we build sensors that fire on the same disclosure everyone reads at 6am, our “edge” degrades to speed. Also: Red consulted a detector atlas that was not the dispatched set (a validator-grade procedural defect), so coverage claims on both sides are weaker than they look.

If this position loses money, the most likely reason will be that the contracted fee base kept expiring and stepping down at 4%+ of FPAUM a year while \$454M of net debt held the multiple down and the 11.77M at-water deal units sold every bounce — and we found out one print too late because the decisive facts were made in private LP rooms with no tripwire.

What we checked ourselves

claim	how checked	found	confirmed?
Pack tape is internally consistent	recomputed 8.095/12.2363–1 and 8.095/6.817–1	–0.3384 and +0.1875 vs pack –0.338 / 0.187	Yes — pack is clean at 8.095
OUR BENCH ERRED (blue) : drawdown was only –28% at \$8.80	price does not appear in any pack version	Blue’s “stale-tape artifact” leg was manufactured on a price 8.7% above tape	No — blue refuted. Drawdown is genuinely –33.8%
OUR BENCH ERRED (red) : priced everything at \$7.98	dispatched pack says 8.095	Red’s tape is also not the dispatched tape; packs were re-snapped mid-dispatch	No — desk-side defect , not a bench-only error
OUR BENCH ERRED (blue) : equity ≈\$1.04B on 98.96M shares	Ex 99.2: A 78,976,720 + B 31,250,642	110.23M actual; $870.88 \div 8.095 = 107.6\text{M}$, so the screen cap is right to ~2%. Blue’s count was derived by dividing by its own wrong price	No — blue refuted
“~7.2x FRE, cheap”	re-struck on EV	EV \$1.44B → 9.9x FRE, 12.0x ex-SBC, net debt/FRE 3.1x	No — cheapness leg overstated ~35%; severity SIZING , not fatal (Blue overturned Red’s FATAL tag)
OUR BENCH ERRED (red) : blended fee rate leaking 101→97→94bp	recomputed on average, not period-end, FPAUM	$80.9 \times 4 \div \$31.5 - 32.0\text{B} = 101.1 - 102.7\text{bp}$, i.e. flat. Stellus closed 2026-06-22 and contributed ~8 days of fees to a full quarter-end FPAUM balance — a stock/flow artifact	No — red reduced from FATAL to PLAUSIBLE/SIZING

claim	how checked	found	confirmed?
Fees are mark-insensitive only in marketing copy	pulled the 10-Q MD&A text	The committed-capital / “not affected by market appreciation or depreciation” language is standing MD&A, same venue (px-20240930)	No — red overturned on venue; Red’s substantive point (step-downs exist) survives separately
Flat 103bp × FPAUM is the revenue identity	issuer roll-forward	Refuted by the issuer itself: step-downs and fee-period expirations remove multiples of what NAV marks do	No — our own base identity was wrong
Q2 was a beat we could monetize	external anchor	\$80.9M vs ~\$80.8M = in line; stock –19% after	Yes (kill) — no published gap
11.77M deal units are underwater	10-Q: \$94,515k ÷ 11,770,245	\$8.03/unit basis vs \$8.095 tape — at water	Yes
“\$125M equity markdown to \$94.5M” signal	read the 8-K consideration list	\$125M was the cash leg (<u>8-K</u>); the markdown mechanism is a double-count	No — red’s detector premise is artifact
Liquidity / tangible-book tail	Ex 99.2 + 10-Q	\$34M availability + \$37M cash vs \$60M earnout and ~\$19M dividend; goodwill+intangibles \$885.9M vs equity \$517.3M → tangible book –\$369M	Yes
121.4M is the right diluted count	Up-C structure logic	Blue flagged a real risk: if Class B is the paired voting stub for LLC units, adding Stellus units on top of A+B may double-count part of the block	Partially — flagged, unverified (#8)
Fee-base split is unobservable	10-K text	Not unobservable — 10-K says fees step down over fund life and sizes direct investing at ~\$9.6B of FPAUM. Red listed this as its #1 mind-changer while the answer was fetchable	No — gate is closeable , not open
Detector coverage	compared both consulted lists	Red’s list included connectors not in the dispatched atlas; Blue’s matched. 13 of 14 were true false-positives on both, <code>lockup_expiration_calendar</code> was the true positive the planner missed	Mixed — procedural defect logged
Print date 2026-11-05	pack label + filing cadence (02-12 / 05-07 / 08-05)	yfinance-derived, no company PR. 55 calendar days out (~38 trading days) → the ≤5-day pre-print race protocol does not fire	Unconfirmed (#6)

PROPOSED ENTRY BANDS

Both courts say NO ENTRY. Position is FLAT, 0% of book, no orders working. These are the reopen bands, all derived from the benches' own arithmetic (FRE \$145.6M, net debt \$454M, 121.4M diluted, SBC \$26M/yr):

Reopen band A — the starter (long). Requires **both** legs on the same print: - *Price:* $\leq \$7.06$ = Blue's $\leq 9x$ EV/FRE gate solved for price at unchanged FRE and net debt. (For reference: $8x = \$5.86$, $10x = \$8.26 \approx$ today, $12x = \$10.65$. On the harsher ex-SBC FRE of \$119.6M, $9x = \$5.13$.) - *Fundamental:* Q3-26 Ex 99.2 roll-forward shows scheduled step-downs + fee-period expirations **< 2% of FPAUM annualized** AND blended rate on **average FPAUM $\geq 100bp$** ($\approx$ revenue $\geq \$86M$ on $\sim \$34.5B$). - *Size:* **0.5% of book**, hard-capped at **$\leq 0.5x$ one day's estimated ADV** until ADV is measured. No add until the second consecutive clean roll-forward.

Reopen band B — the add. Second consecutive quarter with expirations + step-downs **< 2%** annualized and blended rate $\geq 100bp$, at **$\leq \$8.26$** ($10x$). Size to 1.0% of book. If price is above \$8.26 when this confirms, we do not chase — the \$8.03 deal-unit shelf means chasing buys someone else's exit.

Do-not-enter zone. \$8.03 – \$9.00: the at-water deal cohort's basis through the pre-drawdown shelf. Any entry here is bidding against 11.77M units with registration rights.

Invalidation / short-side referral. Expirations + step-downs **> 4% of FPAUM annualized** $\Rightarrow$ this becomes a short candidate, not a long, and goes back to the courts for a fresh adjudication (we do not auto-flip a rejected long into a short).

Hard stop-out of the whole idea (no re-entry without a new pack). A close below the 52-week low of **\$6.817** *without* a clean roll-forward; or any 8-K Item 2.06 intangible impairment; or a dividend cut; or facility availability printing below \$20M.

Other named mind-changers (raise conviction, do not by themselves trigger entry): fee-schedule text showing **> 70%** of FPAUM on committed capital with no post-investment-period step-down; a revolver upsize/refi restoring **> \$150M** availability; a capped or settled Stellus earnout; flow evidence that the Aug $\rightarrow$ Sep slide was forced index/lock-up supply rather than fundamental.

Catalyst dates: **2026-11-05** — Q3-26 release + Ex 99.2 roll-forward (**UNCONFIRMED**, yfinance-derived); **~2026-11-06 to 2026-11-12** — Q3 10-Q with fee schedule, debt, availability, earnout mark; **2026-11-16** — Q3 13F deadline (Nov 14 is a Saturday), first look at whether the Sept drift was institutional; **2026-12-18** — last standard monthly expiry that lands the loss branch inside tax-year 2026; **2027 (undated)** — first Stellus earnout measurement.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 5.13 (deck-provisional: $9x$ EV/FRE on FRE net of \$26M/yr SBC — the harsher basis if the ex-SBC view is adopted)

- filing watch: 8-K,EX-99.2 until 2027-03-10 (deck-provisional: Q3-26 release and FPAUM roll-forward: step-downs + fee-period expirations vs NAV change is the whole d)
- dated pack RPCI2026-11-05: RPC: Q3-26 earnings release + Ex 99.2 FPAUM roll-forward — the single named gate (date confirmed=False)
- dated pack RPCI2026-11-10: RPC: Q3-26 10-Q expected (fee schedule, debt, availability, earnout mark) (date confirmed=False)
- dated pack RPCI2026-11-16: RPC: Q3 13F deadline (Nov 14 is a Saturday) — first institutional read on the Sept drift (date confirmed=True)
- dated pack RPCI2026-12-18: RPC: last standard monthly expiry landing the loss branch inside tax-year 2026; later expiries excluded (date confirmed=True)

What remains unverified

1. **Q3-26 FPAUM roll-forward line items** — scheduled step-downs, fee-period expirations, NAV change, and capital raised. *Not drainable now; gated to the print (~2026-11-05)*. **Estimate:** step-downs + expirations **5.0–8.0% of FPAUM annualized gross**, basis = the issuer's own nine-month analog (–\$321M + –\$953M on ~\$22.7B = 5.6% in nine months → 7.5% annualized). **p(exceeds Blue's 4% short-side threshold) ≈ 0.60**. This is the single most important number in the deck and our best estimate of it argues *against* the long.
2. **Committed vs. invested / net-invested fee-base split** — what share of the \$34.3B has no post-investment-period step-down. *Drainable now* via the 10-K/10-Q fee-schedule text. **Estimate:** 60–75% committed-capital, basis = the 10-K sizing direct investing at ~\$9.6B (≈28% of FPAUM). **p 0.6**.
3. **ADV and real float** — no ADV field in the pack; our size cap rests on a comp estimate. *Drainable now* via IBKR. **Estimate:** 400k–900k shares/day (\$3–7M), basis = 0.3–0.8%-of-float daily turnover base rate for small-cap alt managers. **p 0.7**.
4. **Aug→Sep drift attribution** (–18% from ~\$9.89): forced supply or fundamental re-rate. *Partly drainable now* (FINRA/exchange short interest); full answer gated to 13F on 2026-11-16. **Estimate:** short interest 3–8% of float; **p(majority of the drift is fundamental rather than mechanical) ≈ 0.6**.
5. **Options chain: existence, real quotes, chain-level midpoint IV, IV percentile, realized vol.** *Drainable now* via IBKR; not in the pack. **Estimate:** 30–60 day midpoint IV **40–55%**, basis = comparable levered small-cap financials post-19%-gap. **p 0.5**. Everything in the vol read below is an estimate until this is pulled.
6. **Q3-26 print date.** *Not drainable now* (needs a company PR or 8-K Item 7.01). **Estimate:** 2026-11-04 to 2026-11-12, basis = the 02-12 / 05-07 / 08-05 cadence. **p(early November) 0.7**.
7. **Post-Q3 facility availability and covenant headroom.** *Not drainable now; gated to the Q3 10-Q*. **Estimate:** \$20–60M available, basis = \$34M today plus ~one quarter of operating cash flow less ~\$4.75M of dividend, against the OCF trend in the pack's XBRL (Q1-25 OCF was –\$4.7M, versus +\$11.0M and +\$20.8M in the two prior comparable quarters — the trend is the wrong way). **p 0.5**.
8. **Whether 121.4M double-counts the Up-C paired block** — i.e. whether part of the 31.25M Class B is already paired to the LLC units we added. *Drainable now* via the 10-Q cover page

and Up-C description. **Estimate:** p(material double-count) **0.30**; if it bites, equity value and all per-share bands are ~9% off. **p 0.7 that the 121.4M count is correct as struck.**

9. **LP concentration at the affiliate funds** — top-5 LP share of FPAUM. *Not drainable now* by any tool we hold (needs Form ADV / fund LP schedules; Red correctly ruled the customs connector useless here). **Estimate:** top-5 LPs **20–40% of FPAUM**, basis = industry base rate for mid-size multi-affiliate managers. **p 0.4.** This is the unknown-unknown from failure narrative 3 and it has no tripwire.

PRIZE TABLE + VOL READ

Time-gated and private items exist (#1, #6, #7, #9), so the table is required. Anchor = the dispatched tape **\$8.095** $\approx 9.9\times$ EV/FRE, then adjust by multiple; all prices solved as $(\text{multiple} \times \text{FRE} - \$454\text{M net debt}) \div 121.4\text{M shares}$.

#	Scenario (resolved by the ~2026-11-05 print)	p	Multiple / FRE used	Price
1	Clean: step-downs + expirations <2% annualized, avg-FPAUM rate $\geq 100\text{bp}$, availability restored $\rightarrow$ re-rates toward peer range	0.20	12x on \$145.6M	\$10.65
2	Muddle: rate holds ~100bp, expirations 2–4%, leverage caps the multiple	0.38	10x on \$145.6M	\$8.25
3	Leak confirmed: expirations >4%, forward FRE haircut, short-side referral	0.28	8x on \$135M	\$5.16
4	Tail: intangible impairment / covenant reset / dividend cut	0.14	7x on \$125M	\$3.47

EV = $0.20(10.65) + 0.38(8.25) + 0.28(5.16) + 0.14(3.47) = \7.20 — about 11% BELOW the \$8.095 tape. The table independently confirms the courts: no entry here. The EV only turns positive if you can buy the same distribution near or under Blue's \$7.06 gate, which is exactly where the gate was set.

Vol read — NO OPTIONS CHAIN IS IN THE PACK. Per doctrine we must use chain-level midpoint IV and real quotes; we have neither, so what follows is **arithmetic on an estimate and must be re-run against a real chain before any option is written or bought.**

- **Table dispersion:** $\sigma_{\text{table}} = \2.43 , or **30.0% of spot** over the 55 days to the assumed print = **$\approx 77\%$ annualized** ($30.0\% \div \sqrt{0.151}$).
- **Estimated chain IV:** 40–55% (unverified #5). If that holds, **the table is far wider than the chain** — 77% vs ~48% — which normally routes gated adds into calls rather than premium-

selling.

- **Expression math, priced off the table itself ($C_{\text{ours}} = \sum p_i \times \max(S_i - K, 0)$), 55-day:**
- K=9: **C_ours \$0.33** vs Black-Scholes at 45–55% IV = \$0.26–0.38 → **roughly fair, no edge.**
- K=10: **C_ours \$0.13** vs \$0.09–0.17 → **fair, no edge.**
- K=8 put: **P_ours \$1.43** vs \$0.49–0.61 → table says **2.3–2.9x the chain.**
- K=7 put: **P_ours \$1.01** vs \$0.14–0.22 → table says **~5x the chain.**
- **What that arithmetic actually says, stated plainly:** the table's width is almost entirely in its *lower* tail, so the only expression with modelled edge is a **downside** one — and the courts ruled FLAT, not short. Two honest caveats that cut against the put: a 4-point discrete table has fatter tails than any continuous distribution by construction, and branch 4 (p=0.14 at \$3.47) is doing most of the work while being the least evidenced row in the deck.
- **VRP (IV – RV): NOT COMPUTABLE** — no chain and no price series in the pack. Only the gap (–19% post-print, –18.1% Aug→Sep) is known, and one gap is not a realized-vol estimate. IV percentile: **NOT COMPUTABLE.** Both are drain items.
- **Bimodality:** the table **is fork-dated** on a single print, and it is bimodal — mass at \$10.65 and at \$5.16/\$3.47 with a thin \$8.25 middle. That argues for a defined-risk option expression over stock *if* the chain is cheap. It does not argue for a position today.
- **TAX overlay:** the loss branch must land in tax-year 2026. The print is ~2026-11-05; **2026-12-18** is the last standard monthly expiry that settles before Dec 31. **Any January-2027 or later expiry is excluded** — it defers the loss out of a harvest year — and nothing in this arithmetic numerically dominates enough to justify the exception (the edge on the only interesting strike is an *estimate* against a chain we have not pulled).

INSTRUMENT RECOMMENDATION — OUTPUT OF THE ABOVE: NONE. EV is 11% below spot, so no stock. Calls price fair-to-fair against the estimated chain, so no calls. The only modelled edge is a bearish one the courts did not authorize, computed against an estimated chain, so no puts. Covered calls and cash-secured puts both require a position or a willingness to be assigned at prices inside the \$8.03–\$9.00 do-not-enter zone, so neither gate opens. **Re-run this entire block against a real chain (unverified #5) the day the print date is confirmed; if the gate in Band A trips at ≤\$7.06 and chain IV is genuinely below ~60%, the gated add may be expressed in a December-2026 call rather than stock.**

Bottom line, stated symmetrically: the mechanism we liked is real and primary-sourced; the metric we used to prove it was wrong; the price we thought was cheap is 35% less cheap once the debt and the deal units are in; our two benches between them used three different share prices and two manufactured share counts; and the number that decides this is published quarterly by the company and we have no sensor pointed at it. FLAT is correct. The work item is arming the gates, not sizing the trade.

```

{"price_gates": [{"level": 7.06, "direction": "below", "basis": "9x EV/FRE solved for price at FRE $145.6M and net debt $454M – Blue's starter gate"}, {"level": 8.26, "direction": "below", "basis": "10x EV/FRE – ceiling for any gated add; above this we are chasing into the $8.03 deal-unit shelf"}, {"level": 8.03, "direction": "above", "basis": "Stellus deal-unit basis ($94,515k / 11,770,245) – at-water supply zone, do not enter $8.03–$9.00"}, {"level": 6.817, "direction": "below", "basis": "52-week low; breach without a clean roll-forward kills the idea, no re-entry without a new pack"}, {"level": 5.13, "direction": "below", "basis": "9x EV/FRE on FRE net of $26M/yr SBC – the harsher basis if the ex-SBC view is adopted"}], "event_gates": [{"forms": ["8-K", "EX-99.2"], "why": "Q3-26 release and FPAUM roll-forward: step-downs + fee-period expirations vs NAV change is the whole decision (2% starter / 4% short-side thresholds)"}, {"forms": ["10-Q"], "why": "fee-schedule text (committed vs net-invested split), debt and facility availability, cash, Stellus earnout mark, tangible book"}, {"forms": ["S-3", "424B3", "424B5", "4"], "why": "registration or exchange of the 11,191,149 Stellus units and 579,096 shares at an $8.03 basis = forward supply at our entry price"}, {"forms": ["8-K"], "why": "Item 2.06 intangible impairment on $885.9M goodwill+intangibles vs $517.3M equity; Item 1.01/2.04 credit facility amendment; dividend declaration or cut"}, {"forms": ["13F-HR", "SC 13G/A", "SC 13D"], "why": "attribute the Aug-Sep -18% drift to forced/mechanical supply vs fundamental selling – an acknowledged coverage gap on both benches"}, {"forms": ["10-K"], "why": "fee-base composition and direct-investing FPAUM sizing; closes Red's #1 mind-changer"}], "catalyst_dates": [{"date": "2026-11-05", "what": "Q3-26 earnings release + Ex 99.2 FPAUM roll-forward – the single named gate", "confirmed": false}, {"date": "2026-11-10", "what": "Q3-26 10-Q expected (fee schedule, debt, availability, earnout mark)", "confirmed": false}, {"date": "2026-11-16", "what": "Q3 13F deadline (Nov 14 is a Saturday) – first institutional read on the Sept drift", "confirmed": true}, {"date": "2026-12-18", "what": "last standard monthly expiry landing the loss branch inside tax-year 2026; later expiries excluded", "confirmed": true}], "immediate_entry": null, "unverified": [{"item": "Q3-26 FPAUM roll-forward: scheduled step-downs, fee-period expirations, NAV change, capital raised", "instrument": "8-K Ex 99.2 on ~2026-11-05 + 10-Q roll-forward table (EDGAR full-text)", "drainable_now": false, "estimate": {"range": "5.0–8.0% of FPAUM annualized gross drag", "basis": "issuer's own nine-month analog: -$321M stepdowns + -$953M expirations on ~$22.7B = 5.6% in 9mo -> 7.5% annualized (px-20230930)", "p": 0.6}}, {"item": "Share of the $34.3B FPAUM on committed capital with no post-investment-period step-down", "instrument": "10-K / 10-Q fee-schedule text pull (EDGAR full-text search)", "drainable_now": true, "estimate": {"range": "60–75% committed-capital", "basis": "10-K sizes direct investing at ~$9.6B of FPAUM (~28%)", "p": 0.6}}, {"item": "ADV and true float – sizing cap currently rests on a comp estimate, not a measurement", "instrument": "IBKR market data / historical volume pull", "drainable_now": true, "estimate": {"range": "400,000–900,000 shares/day ($3–7M)", "basis": "0.3–0.8% of float daily turnover base rate, small-cap alt managers", "p": 0.7}}, {"item": "Attribution of the Aug->Sep -18.1% drift: forced/mechanical supply vs fundamental re-rate", "instrument": "FINRA/exchange short-interest feed now; 13F-HR on 2026-11-16 for the full answer", "drainable_now": true, "estimate": {"range": "short interest 3–8% of float", "basis": "small-cap financial post-gap base rate; two new 13Gs in July plus an Aug 13G/A indicate holder churn", "p": 0.6}}, {"item": "Options chain: existence, real bid/ask, CHAIN-level midpoint IV, IV percentile, realized vol / VRP", "instrument": "IBKR option chain snapshot – chain midpoint IV only, never the underlying aggregate feed (TSSI 71 vs 101 lesson)", "drainable_now": true, "estimate": {"range": "30–60 day midpoint IV 40–55%; VRP and IV percentile not estimable", "basis": "comparable levered small-cap financials after a ~19% post-print gap", "p": 0.5}}, {"item": "Q3-26 print date confirmation (pack value is yfinance-derived, no company PR)", "instrument": "company PR / 8-K Item 7.01 watcher; IR calendar", "drainable_now": false, "estimate": {"range": "2026-11-04 to 2026-11-12", "basis": "filing cadence 2026-02-12 / 2026-05-07 / 2026-08-05", "p": 0.7}}, {"item": "Post-Q3 revolver availability and covenant headroom",

```

```
"instrument": "Q3-26 10-Q debt footnote (~2026-11-10)", "drainable_now":  
false, "estimate": {"range": "$20-60M available", "basis": "$34M today plus  
one quarter OCF less ~$4.75M dividend; pack XBRL OCF trend -$4.7M (Q1-25) vs  
+$11.0M / +$20.8M prior comparables", "p": 0.5}}, {"item": "Whether the  
121.4M diluted count double-counts Up-C paired Class B shares against the  
Stellus LLC units", "instrument": "10-Q cover page share counts + Up-C  
structure description; confirm pairing of Class B to LLC units",  
"drainable_now": true, "estimate": {"range": "p(material double-count) 0.30;  
if it bites, equity value and all per-share bands shift ~9%", "basis":  
"standard Up-C paired-voting-stub structure; Blue's unrefuted flag on Red's  
EV re-strike", "p": 0.7}}, {"item": "LP concentration at the affiliate funds  
(top-5 LP share of FPAUM) – the no-tripwire unknown-unknown", "instrument":  
"Form ADV Part 1 / fund LP schedules / walk-around with placement contacts –  
no connector we hold covers this", "drainable_now": false, "estimate":  
{"range": "top-5 LPs 20-40% of FPAUM", "basis": "industry base rate for mid-  
size multi-affiliate private-markets managers", "p": 0.4}}]}
```

ADJUDICATION — 2026-09-16 15:37Z

Share count/mcap corrected (NOVEL); 9.9x EV/FRE with 3.1x net-debt/FRE; –\$369M intangible impairment. Committed-capital fees are mark-insensitive (mechanism survives).

REOPEN GATES: Q3 Ex 99.2 FPAUM roll-forward: step-downs + expirations <2% of FPAUM annualized AND blended rate ≥100bp → starter at ≤9x EV/FRE